

European Economic Integration

EEI/Lecture-seminar 8

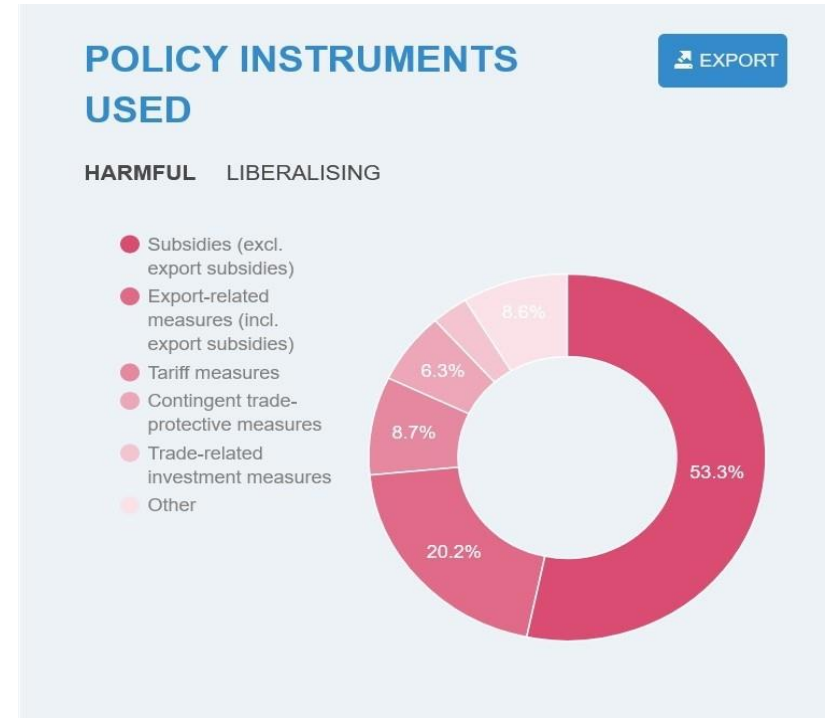
Prague University of Economics and Business

What is happening?

- WTO negotiations frozen
- Tariff barriers vs non-tariff barriers
- Rapid growth of bilateral free trade agreements
- Trade vs non-trade interests

Protectionism

- Geopolitical interests: US, China, EU?
- Implications for global trade
- Trump 1.0 vs Trump 2.0
- EU facing new wave of tariffs
- See [Global Trade Alert](#)

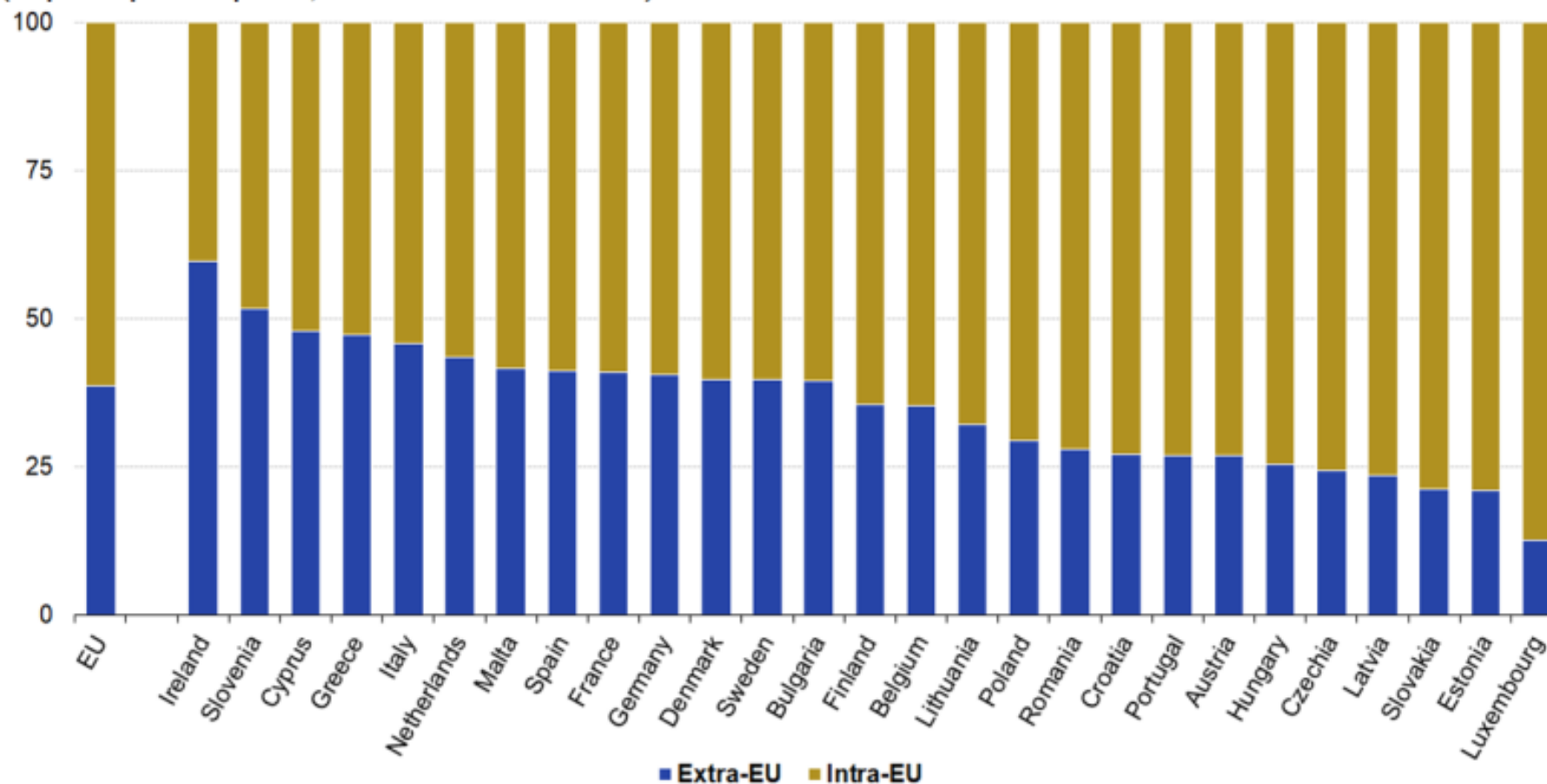


EU trading partners

- ~2/3 of the EU MS exports within the EU borders
- How about other regions/countries?

Intra- and extra-EU trade in goods, 2024

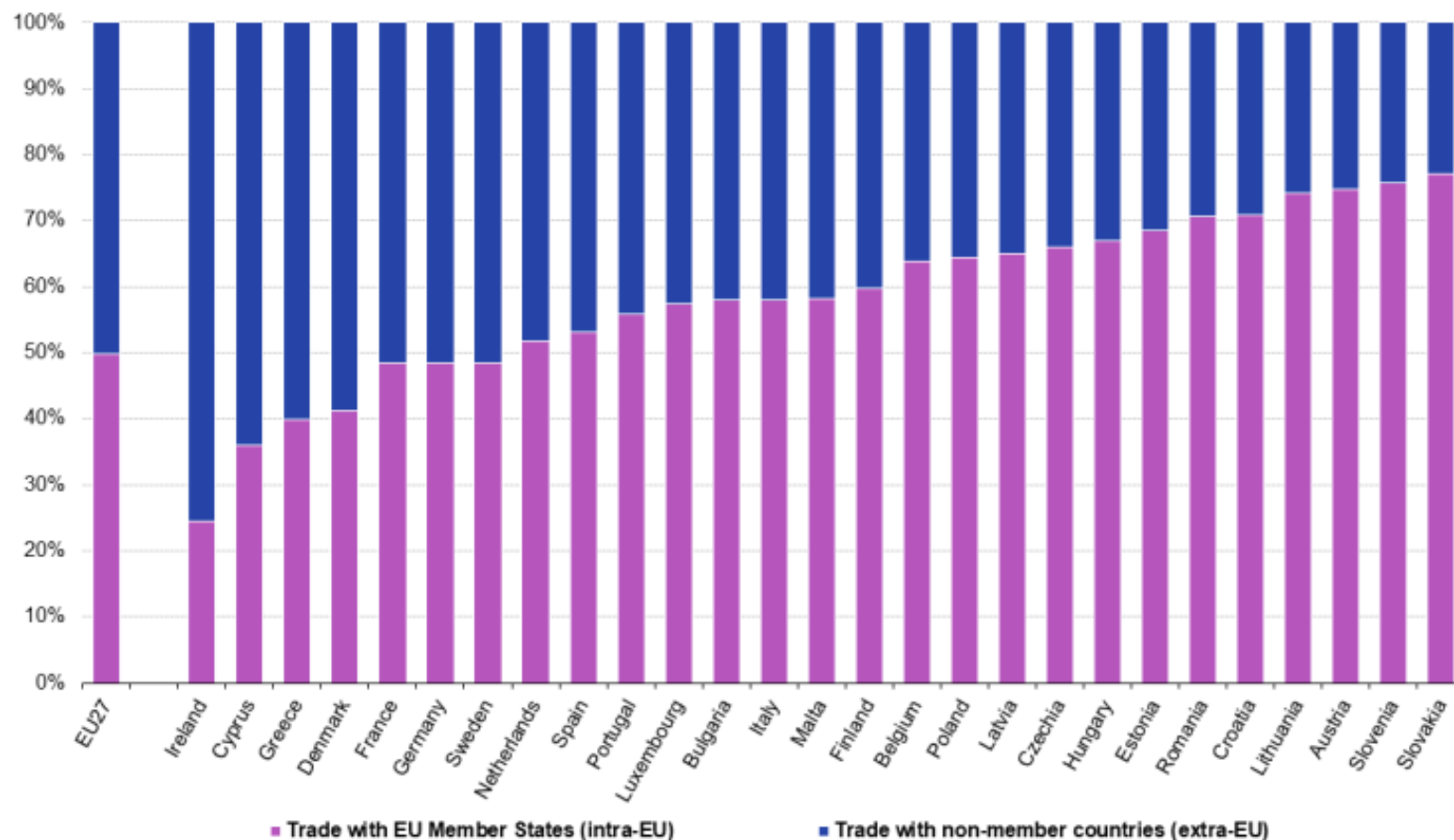
(imports plus exports, % share of total trade)



Source: Eurostat (online data code: ext_lt_intratrd)

eurostat 

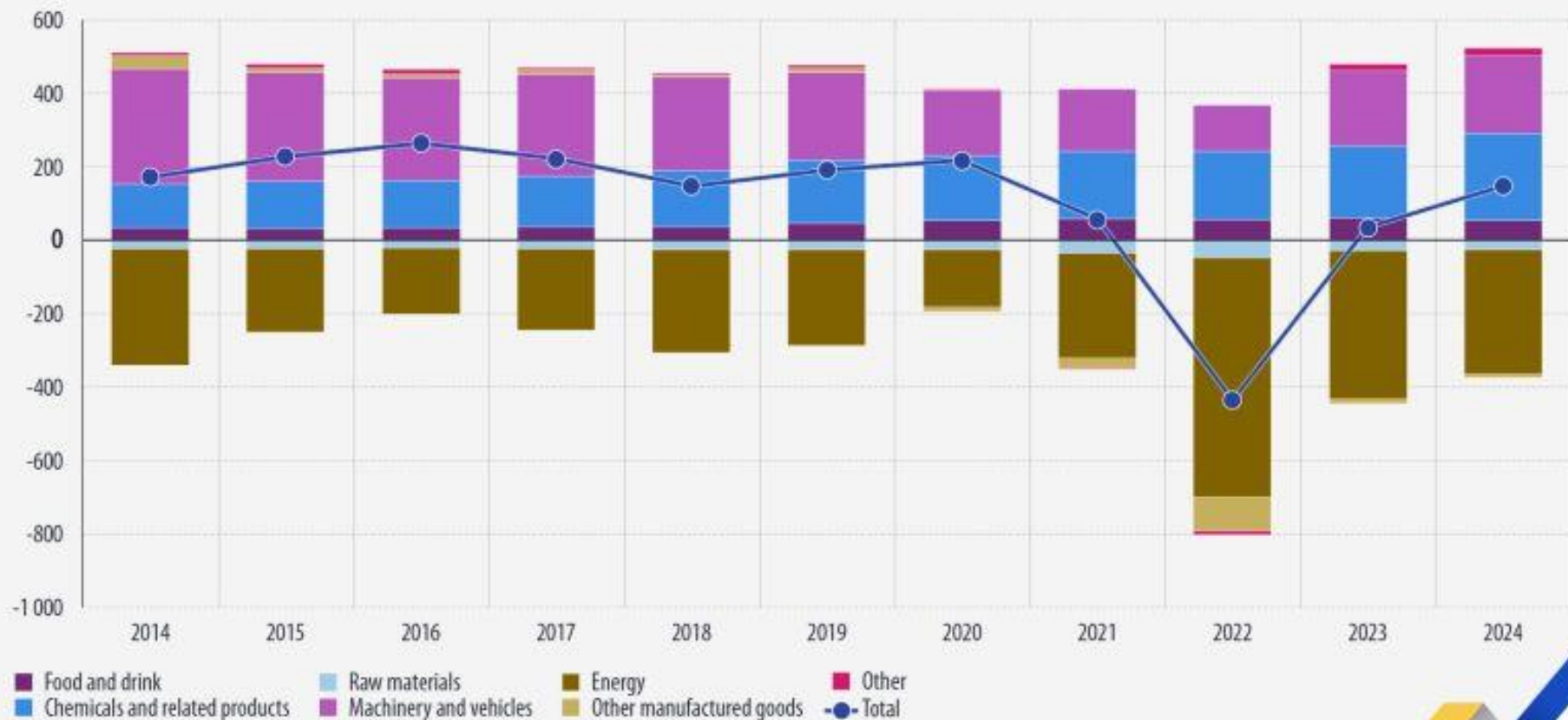
Distribution of intra-EU and extra-EU trade (exports plus imports) in services, 2023
(%)



Source: Eurostat (online data code: bop_its6_det)

EU trade balance by product group, 2014-2024

(€ billion)



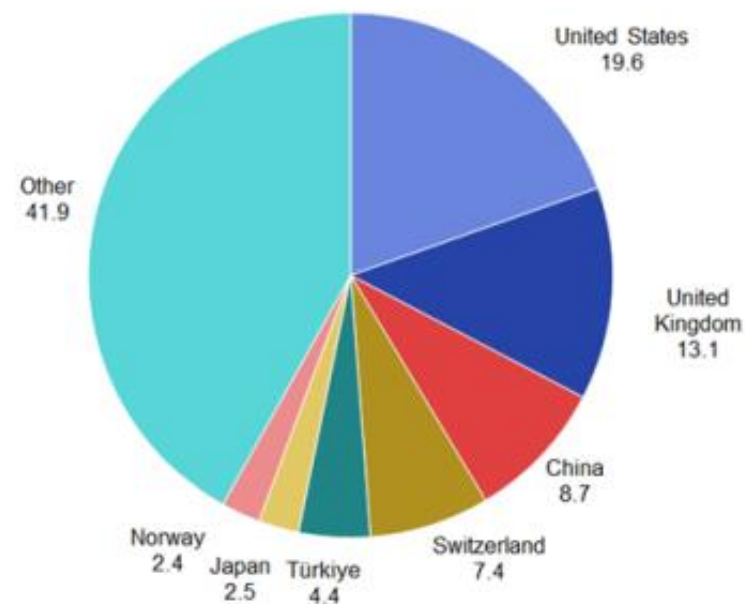
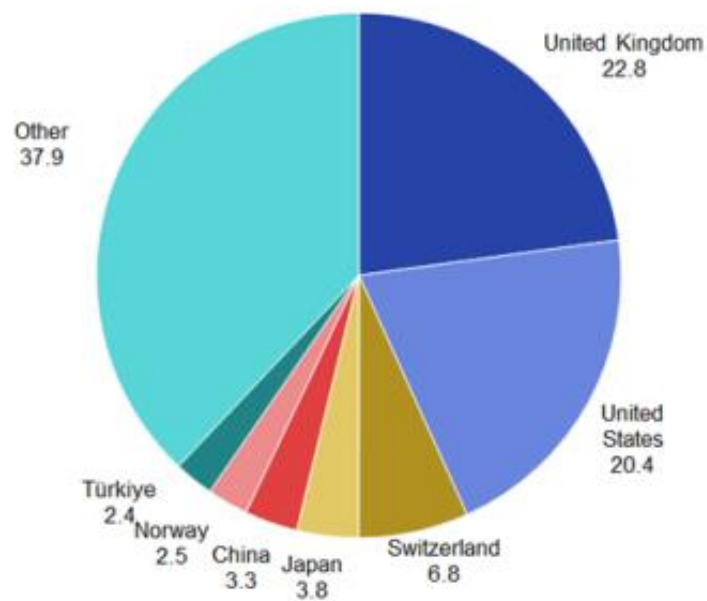
eurostat 

EU exports of goods, 2002 and 2023

(%)

2002

2023



Note: the figure shows the top seven partners with the highest value of exports in 2023
Source: Eurostat (online data code: DS-018995)

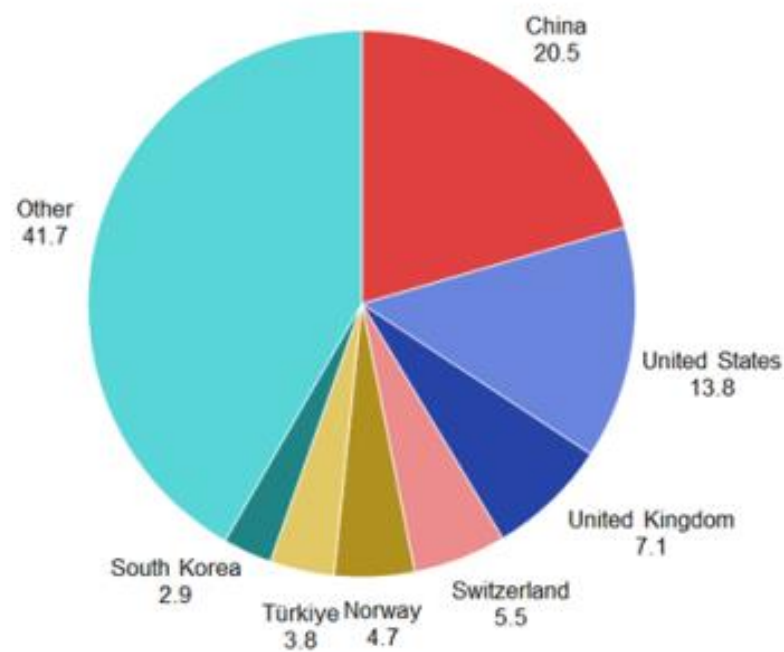
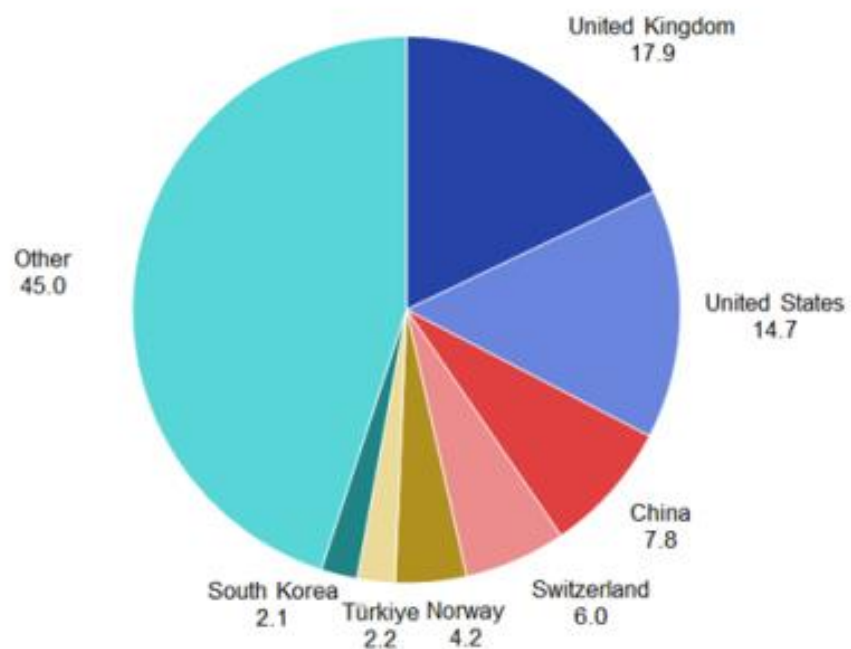
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EU imports of goods, 2002 and 2023

(%)

2002

2023



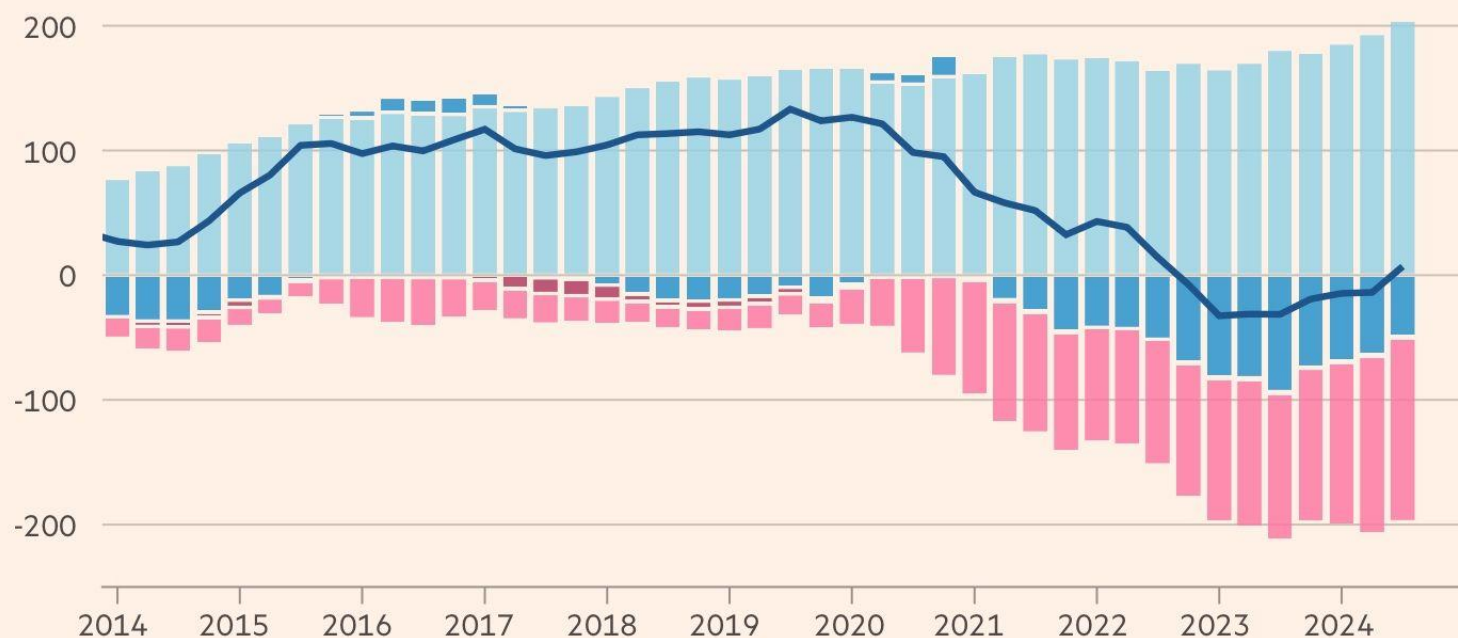
Note: the figure shows the top seven partners with the highest value of imports in 2023

Source: Eurostat (online data code: DS-018995)

eurostat 

Eurozone current account balance with the US, with components (sum over four quarters, €bn)

Current account balance Goods Net factor incomes from abroad Net transfers Services



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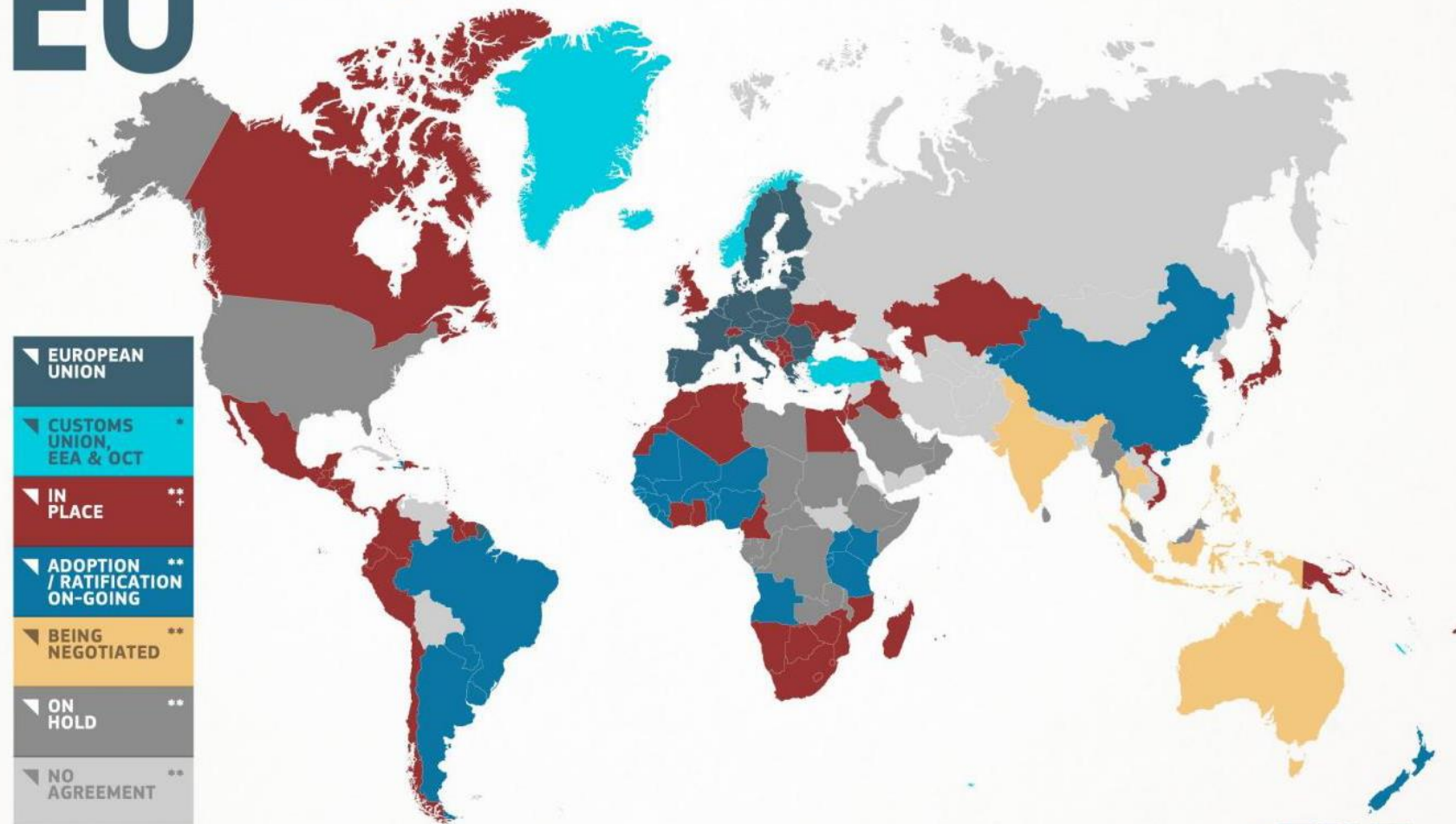
Source: ECB

EU trade policy

- Promoting a global, open and multilateral trading system
- Protecting the interests of the EU and EU MS if free trade is harmful
- EU-level policy guided by the European Commission
- Uniform rules (tariff rates)
- Common Customs Tariff, TARIC (the integrated Tariff of the European Union)

EU trade agreements 2024

Updated 26/03/2024



* European Economic Area (EEA) / Overseas Countries and Territories (OCT).

** Free Trade Agreement (FTA), Deep and Comprehensive Free Trade Agreement (DCFTA), Investment Agreement, Enhanced Partnership and Cooperation Agreement (EPCA), Partnership and Co-operation Agreement with preferential element (PCA).

+ The updated agreements with Tunisia, and Eastern and Southern Africa are currently being updated; the updated agreements with Mexico and Chile are under ratification. The DCFTA with Georgia does not apply in South Ossetia and Abkhazia.



Trade barriers

- Global trend? – low tariffs vs standards, regulations
- Value of EU customs duties on EU imports relatively low: more than 70% of imports come with zero or reduced tariffs
- Global financial crisis – trade opening? (GTA)
- EU has opened and negotiated new FTAs since...
- Role of global value chains? Deglobalization patterns?

Integrated Tariff of the EU

- TARIC is based on the Combined Nomenclature, which contains around a thousand subheadings and forms the basis of the Common Customs Tariff – external and internal trade statistics
- [See here](#)
- Other interesting tools: how about [OEC](#)?

Trade policy in the EU 2020 Strategy

- Trade, growth, and global affairs – EU trade policy was a key element of the EU 2020 Strategy
- Liberalisation, expanding trade in goods and services, and jobs
- Main focus on removing non-tariff barriers to trade with key trade partners
- Trade and economic diplomacy

Competences of the EU in trade policy

- Trade policy is one of the EU's exclusive competences
- Policy-making in the hands of the EU institutions
- Based on development over time since the Customs Union (1968)
- The power is growing with FTAs negotiated by the European Commission

Lisbon Treaty and the EU Trade Policy

- A strengthened role for the European Parliament (co-legislator)
- Investments within trade policy
 - Harmonisation and replacement of existing treaties with the Lisbon Treaty
 - Extensions of powers for (outward) FDIs
 - Also, for example, protection of investments in third countries
- Unclear position of the EU in international organisations

Instruments of Trade Policy

- Tariffs, quotas,...
- Defensive instruments (anti-dumping, anti-subsidy, and other safeguard measures)
- Offensive instruments (arms embargo, trade restrictions through sanctions, special arrangements)

- 
- European Economic Area (EEA)
 - Customs Union (for example Turkey)
 - Stability and Accession Agreements (Macedonia)
 - Free Trade Agreements (Canada, South Korea, Mexico)
 - Euro-Mediterranean partnership
 - EBA (Everything But Arms) Initiative
 - ACP system (Africa / Caribbean, Pacific)
 - GSP (Generalized System of Preferences)
 - Common trade agreements (Mercosur, Brazil...)
Most Favored Nation Clause (MFN) - USA ...
 - Non-WTO members + countries outside these categories

Relations with the 3rd countries

- According to the nature of the provisions: preferential vs. non-preferential agreements
- Association agreements (political, economic, reform commitments)
- Non-preferential treatment (USA, Australia, New Zealand) – country of origin to determine the application of the most-favoured nation treatment

Other types of agreement

- Multilateral negotiations (WTO, OECD), regional trade relations
- Based on provisions: preferential vs. free trade agreements
- Economic cooperation agreements (Cotonou agreement), association agreements

Other types of bilateral agreements

- Association agreements, Stabilisation and Association Agreements, Partnership and Cooperation Agreements
- Non-preferential treatment, agreement with developed countries (USA, Canada, Australia)

Others

- Agreements with former colonies
- Generalised System of Preferences (to all developing countries)
- Everything but Arms (to the least developed countries)

What is negotiated?

- [Examples](#)
- [See external piece](#)

New Strategy for Trade Policy

- *“The challenges we face require a new strategy for EU trade policy. We need open, rules-based trade to help restore growth and job creation post-COVID-19. Equally, trade policy must fully support the green and digital transformations of our economy and lead global efforts to reform the WTO. It should also give us the tools to defend ourselves when we face unfair trade practices. We are pursuing a course that is open, strategic and assertive, emphasising the EU's ability to make its own choices and shape the world around it through leadership and engagement, reflecting our strategic interests and values.”* Valdis Dombrovskis, Commissioner for Trade, 18.2. 2021

What is inside

- Reform of WTO
- Sustainability across value chains
- Digital transition and trade in services
- To increase the EU's regulatory impact; partnerships in the neighbourhood and Africa
- EU FTAs

Open Strategic Autonomy

- Multilateralism under the reformed WTO organisation
- Rebuild the transatlantic partnership
- Real benefits (and level-playing field) to the EU companies and workers
- Green and digital transition
- Focus on anti-coercion instruments

Sustainable development in trade

- Paris Agreement
- Agenda 2030 – SDGs by the UN
- EU played a key role in negotiating these agreements (integrated into the EU policymaking)
- EU trade and sustainable development

Examples of FTAs and trade

- [EU-South Korea](#)

